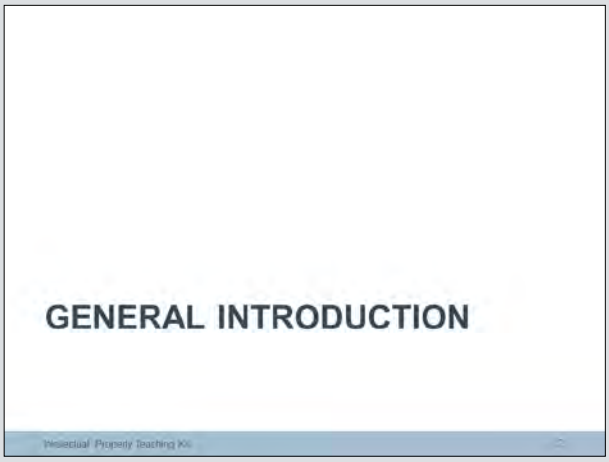
Europäisches Patentamt
European Patent Office
Office européen des brevets

EUIPO
EUROPEAN UNION INTELLECTUAL PROPERTY OFFICE

Intellectual Property Teaching Kit
IP Basics

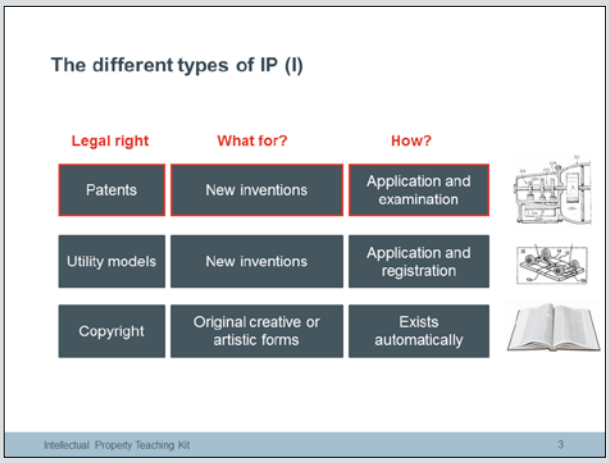

GENERAL INTRODUCTION
Intellectual Property Teaching Kit

Slide 3
The different types of IP (I)

Patents are granted for technical inventions. Applications for patents must be filed with a national or regional patent office. They are examined in a process that results in the grant or refusal of a patent. Patents normally last for a maximum of 20 years from the date of filing of the application. In some countries, a special, less powerful kind of patent called a utility model (or "petty patent") is also available.

Utility models usually offer simpler protection, for a shorter period of time. Most countries require inventions simply to be new in order for them to receive utility model protection. Others, for example Germany, also require them to involve an inventive step. But most countries examine neither novelty nor inventive step and will register any utility model that complies with the formalities.

Copyright does not need to be registered.
It "automatically" exists when the work is created. Copyright protects any original, creative, intellectual or artistic expression, including novels, scientific literature, plays, software, photographs and paintings, music, sculptures, television broadcasts, etc. Even the smell of a perfume may be (indirectly) protected by copyright: the blend of ingredients that goes into a perfume can represent an original work of authorship and can therefore be protected by copyright. The duration of a copyright is roughly the life of the author plus 70 years, depending on the case and country.



Patents are granted for technical inventions. Applications for patents are examined by the patent office they are filed with, in order to determine whether they meet the stringent requirements for a patent to be granted. Patents generally last for a maximum of 20 years from the date of filing.

Utility models offer simpler protection, for a shorter period of time, but are usually registered and published much more quickly than patents.

Copyright does not need to be registered. It automatically exists when a work is created. It protects any type of original, creative expression, including literature, art, drama, music, photographs, recordings and broadcasts.

Slide 4
The different types of IP (II)

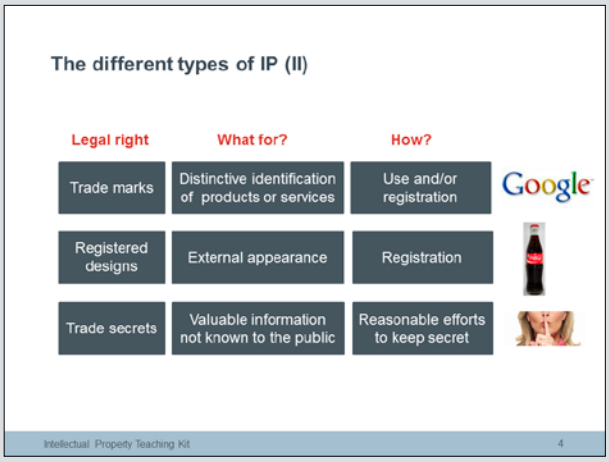
Trade marks are distinctive signs identifying and distinguishing the commercial source of goods or services. They can consist of words, logos, names and colours, as well as any other means of identifying commercial origin, such as the shape of the product or its packaging, or even sounds or smells. For instance, most Disney characters are registered as trade marks. Trade marks can be created simply by using them (as Google did, for example) or by explicitly registering them.

Registered designs (USA: "design patents") protect the ornamental design, form, appearance and style of objects, but not their functional aspects. The requirements are absolute novelty and individual character. The duration of protection for a Community registered design is a maximum of 25 years from the date of application to register. They are granted in five-year terms, which are renewable.

Unregistered designs also enjoy protection under certain conditions. You get a free, automatic right when you present an original design to the public. It gives you the right to stop anyone from copying your design, but is usually of a more limited duration than that available for registered designs. The duration of protection for a Community unregistered design is a maximum of three years following publication of the design in the European Union.

A trade secret
Trade secrets consist of any confidential business information which provides an enterprise a competitive edge. Contrary to other figures of IP, trade secrets are protected without any procedural formalities; consequently, they can be protected for an unlimited period of time. A trade secret information must be (a) secret, (b) must have commercial value due to its secret nature and (c) must have been subjected to reasonable steps by the rightful holder of the information to keep it secret (i.e. non-disclosure agreements with employees and business partners and measures to prevent industrial espionage).
The conditions may vary from country to country; however, the information provided above corresponds to the general standards which are referred to in article 39 of the Agreement on Trade-related Aspects of Intellectual Property Rights (TRIPS Agreement).

Other forms of IP not shown here include plant variety protection (USA: "plant patents"), databases, geographical indications and semiconductor topography designs.



Trade marks are distinctive signs indicating the source of a product or service. They include, for example, names, logos and colours applied to the owner's products or services, which distinguish them from products and services provided by competitors.

Registered designs protect the external appearance of a product. They do not give any protection for technical aspects. They include new patterns, ornaments and shapes. To be officially registered, designs need to be original and possess individual character distinctive. The artistic aspects of a design may also be protected by copyright.

Unregistered designs also enjoy some protection. An unregistered design is a free, automatic right that you get when you present a design to the public. It gives you the right to stop anyone from copying your design.
The protection afforded by an unregistered design is normally of more limited duration than that available for a registered design.

Trade secrets cover information not known to the public. If the possessor of the information is careful to keep it confidential, he can sue anyone who steals it.

Slide 5
One product – many IP rights (animated slide)

All the IP rights described so far can be used in combination to help inventors protect their innovations. For example, a company might use a patent in order to ensure that it is the only one that offers a particular technical feature, and registered or unregistered designs to protect the features relating to the appearance of the product. It can also use trade marks to communicate the source of the product.

It might also choose to keep some aspects of the production process secret. If it makes serious efforts to maintain secrecy then it can enjoy the protection of trade secrets.

Students may well be unaware, for example, of the range of IP it takes to make and market a mobile phone. This slide gives some examples. This will help students understand how to protect different aspects of their own intellectual creations.

The terms and conditions for use of the content of the Nokia website in public state that "The contents of Nokia World Wide Web pages are Copyright © Nokia Corporation 2014. ... The use of this site and the content therein, is permitted to private, non-commercial use. The use of press releases and other documents classified as public is permitted in public communications if the source for the information has been stated."

This also applies to images available from their website at *http://company.nokia.com/en/news/media-library*

This slide shows the wide range of intellectual property that can be involved in protecting a single product, in this case a mobile phone.

IP in the real world

A practical exercise to help you decide what IP to use and when

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Slide 45
An anti-allergy sprayer and spray

Divide the students into groups of 4-5 and distribute the exercise.

Give them ten minutes to work on the questions, to be followed by ten minutes of discussion.

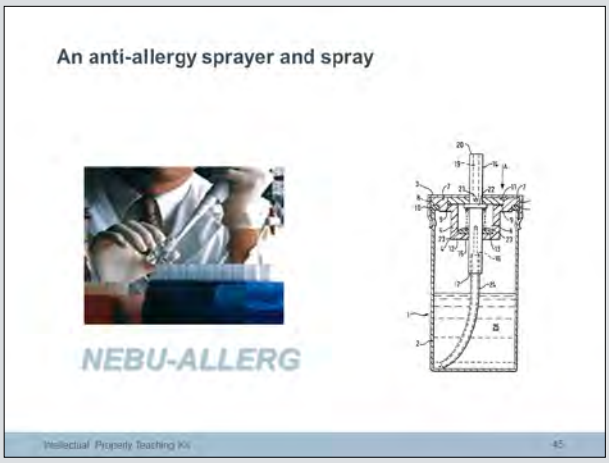
Exercise
A university research team has developed a new medicinal product which is very effective in treating certain allergies.

Having studied various ways of applying the product, the team concluded that a nasal application in the form of a subtle mist would be best. They designed a nebuliser and carried out some laboratory tests. The nebuliser has a special nozzle design that permits more effective delivery, by precisely forming tiny droplets of uniform size and speed to reach the optimal location inside the nose, allowing for better absorption. The pumping system has also been improved so that it delivers a fixed, precise dose of the product, sufficient to treat symptoms for a whole day. For these reasons, the team thinks it could become a market leader.

The team showed a prototype of the sprayer to one of the engineering companies from the university's technology park. In collaboration with this company, they came up with an attractive design for the overall sprayer can which is suitable for commercialisation. The design is minimal – "clean and clinical" – and comprises a white can with a single green button.

The team considers the field of allergy products to be a growth market, so they asked an advertising agency to devise a strategy that could give them an important share of the market over the next few decades. Together they came up with a brand name, NEBU-ALLERG, and a plan to create an attractive logo. They think the slogan should emphasise simplicity and have suggested "Press green for go!". The advertising agency will design a website and other material to support the promotional campaign.

What you have to do
- Identify the various IP elements in this project.
- Suggest ways in which they can be protected.
- Identify potential contractual issues.



Divide yourselves up into groups of 4 to 5 people and read the exercise you have been given.

The exercise is about a new medicinal product which has been developed by a university research team. The product is very effective in treating certain allergies. The team has also designed a nebuliser with a special nozzle design for nasal application that permits more effective delivery, and an improved pumping system which delivers a fixed, precise dose of the product.

In collaboration with an engineering company from the university's technology park, they have also developed an attractive design for the sprayer can.

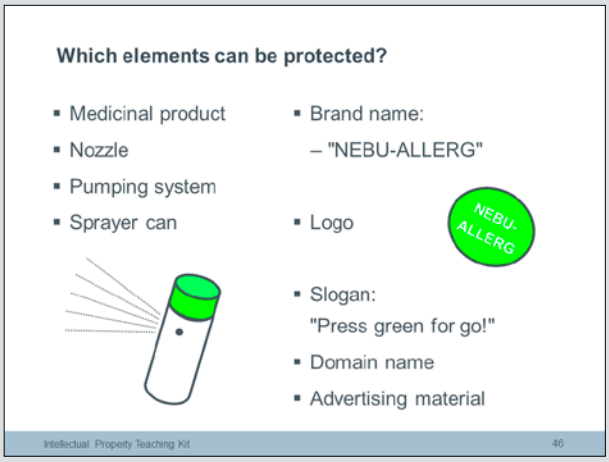
Together with an advertising agency they have come up with a brand name, NEBU-ALLERG, an attractive logo and a slogan which reads "Press green for go!" The agency also plans to design a website and other material to support the promotional campaign.

In the next ten minutes I would like you to:

- Identify the various IP elements in this project,
- Suggest ways in which they can be protected, and
- Identify the potential contractual issues that might arise.

Slide 46
Which elements can be protected?

Use this slide to summarise the aspects that students should be focusing on.



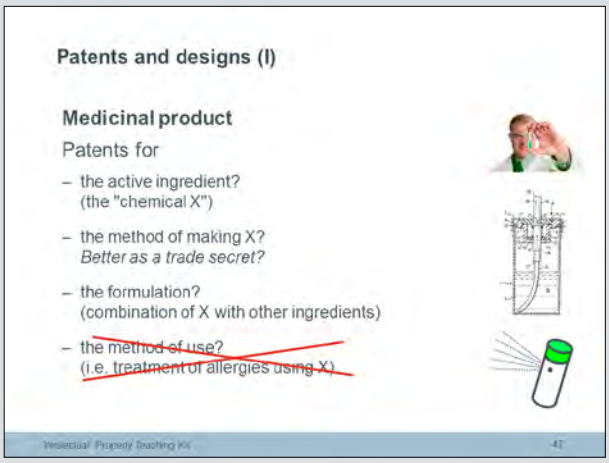
Here are some of the aspects you should be focusing on.

Slide 47
Patents and designs (I) (animated slide)

Medicinal product
Students may suggest that the active ingredient should be patented. That would be correct. They may also suggest that the process for making X should be patented as well. Yes – but have they considered that a trade secret might be just as effective? If the process cannot be guessed from the final product, then it might be better kept as a trade secret. However, if the process cannot easily be kept secret, or if the intention is to license it, then it is better to patent it.

They might also suggest patenting the formulation (the mixture of X in a solution with other materials, e.g. preservatives, acidity regulators, emulsifiers, etc.). If a patent application for X were to be rejected for lack of novelty, its novel formulation with other materials might get a patent instead. However, in this field of technology many formulations are commonplace, so proving inventive step might be difficult.

Finally, they might suggest patenting a method of using the chemical to treat allergies. They would be right in any other situation, but wrong here. If the invention was a new radar system, you could patent the radar equipment itself, a process for making it, and a method for detecting objects using the new radar system. However, in the medical field, "methods of treatment, diagnosis or surgery practised on the human or animal body" cannot be patented. This is a matter of public policy. It is not felt to be in the public interest for a doctor to be prevented from performing a life-saving operation simply because he cannot get a licence from the patentee for the method. So whilst medicines, medical equipment (X-ray machines, endoscopes, etc.) and prosthetics (e.g. artificial hip joints) can all potentially be patented, methods of diagnosing or treating arthritis, or methods for surgically implanting hip joints, cannot.



First of all, how would you protect the medicinal product?

What about the process for making X?

And the formulation?

What about a method of using the spray to treat allergies?

Slide 48
Patents and designs (II) (animated slide)

Nozzle
If anyone suggests that the nozzle should be protected as a registered design, ask them if its internal shape is "ordinarily on view when in use" – a requirement for registered design protection. The answer is no.
(This aspect is dealt with in more detail in the advanced module on designs).

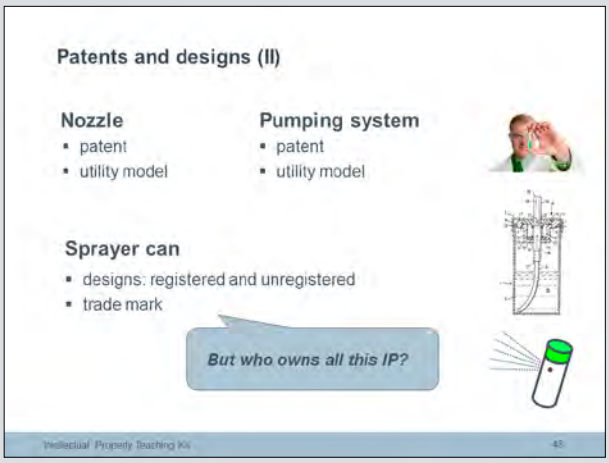
Then ask if the shape of the nozzle is dictated by aesthetic or functional criteria. It is, of course, functional, and therefore patentable (and, in fact, barred from design protection). Furthermore, in countries which have a utility model system, it could be a utility model too. This would be quicker and possibly also cheaper, and therefore a more attractive option should money be limited in the early stages of the project.

Pumping system
Next, the pumping system, which is quite distinct from the nozzle. A patent application could be filed for this, and in some countries a utility model too. Counter any suggestion that the nozzle and pumping system could be wrapped up together in one patent application to save money. They are two quite different inventions. The pumping system patent could, in future, be licensed for other purposes quite independently of the nozzle patent, and vice versa.

Sprayer can
Finally we come to the sprayer can itself. The shape plus the colour of the bottle and button have been designed to make it attractive to consumers. These aesthetic features are different from the functional features of the nozzle and the pumping system. The design of the sprayer could easily be protected by a registered design (and already enjoys unregistered rights for three years). Students will probably also spot the opportunity to register the shape as a trade mark (see Toblerone or the Coca-Cola bottle).

But be careful! Who developed the sprayer can? The engineering company from the university's technology park. So you have to check the contracts for the development of the sprayer can to ascertain if the university research team is even entitled to register IP for it, as it might actually belong to the engineering company. It would therefore be important to get ownership assigned as quickly as possible.

Point out that the engineering company – essentially a sub-contractor – could be a potential source of leaks regarding technical or commercial secrets (especially dangerous prior to patent filing), so it might also be worth thinking about confidentiality agreements. The prototype was shown to the engineering company, so even if patents or utility models have been applied for the technical features of the sprayer (nozzle and pumping system), it would be wise to sign a non-disclosure agreement. The agreement should establish the university's ownership of the initial prototype and the obligations of confidentiality; ownership of the resulting design might be better covered in a separate agreement.



What about the nozzle?

And the pumping system?

And the sprayer can?

And last but not least: who owns all this IP?

Slide 49
Trade marks, copyright and domain names (animated slide)

Brand name, logo and slogan
Are there any problems with the brand name, logo or slogan? The brand name is a made-up word (like Kodak or Sony) and therefore has the potential to become a "strong" mark. And a "pure" word mark, unlimited by font or style, gives broader protection than a "stylised" word mark, which protects the word or name only when written in a particular way.

The slogan is neither laudatory nor descriptive, nor indicative of type, quantity or kind, so there are no problems here. (This aspect is dealt with in more detail in the advanced module on trade marks.)

In the long-term, the registered trade marks (RTMs) could be the strongest asset. Unlike patents, utility models and design rights, they will not expire. If patent protection can keep the competition away from this market niche long enough to establish a reputation under the brand, then even after the patents and other IP expire, the trade marks can continue to maintain a substantial market share.

Advertising materials
Advertising materials – text and artwork for posters, flyers, jingles, television and radio advertisements and websites – will be covered by copyright.

But be careful: who owns this IP? Check the contracts with the advertising agency, and get assignment of the rights protecting the IP, such as the various advertising materials. You must also guard against the advertising agency becoming the owners of the RTMs (if you let them develop the brands and slogans and let them file the RTM applications).

A further suggestion might be to put confidentiality agreements in place to prevent leaks of commercially sensitive information (product pricing, marketing strategy, launch dates, technical data and so on).

Domain names
Domain names are important marketing tools.

If NEBU-ALLERG becomes an RTM, this will provide strong protection against cyber-squatters who might register "www.nebuallerg.com" (no hyphen) or "www.nebu-allerg.eu" and other variations.

To obtain damages to cover losses caused by cyber-squatters, you would have to take legal action under trade mark law to prove that their behaviour was an attempt to "confuse or divert" consumers.

The marketing team might also register "www.thegreenbutton.com" if they think that customers might well ask their pharmacist for "that allergy medicine with the green button" rather than mentioning NEBU-ALLERG by name. The domain name www.thegreenbutton.com might actually therefore be more valuable. It is therefore highly advisable to register domain names as RTMs.

What about the brand name, logo and slogan? Registered trade marks can be obtained for them.

As far as the advertising materials are concerned, the text and artwork for posters, flyers, jingles, TV and radio advertisements and websites are all covered by copyright. But be careful: who owns this IP? The advertising agency. So you must try and get these rights transferred.

What about confidentiality agreements with the agency? This is a good idea, as it will guard against leaks of commercially sensitive information such as pricing, marketing strategy, launch dates, technical data and so on.

With regard to the domain name, if NEBU-ALLERG becomes a registered trade mark, this will afford strong protection against cyber-squatters who might register "www.nebuallerg.com" – without a hyphen – or "www.nebu-allerg.eu" and other variations.

As customers are quite likely to ask their pharmacist for "that allergy medicine with the green button", it would be a good idea to register "www.thegreenbutton.com" as well.